

Just as mutual funds employ professionally qualified staff to invest in the stock markets on behalf of the retail investors, there are fixed income products which have professionally qualified staff for investing in fixed income securities.

Fixed Maturity Plans (FMPs) are close ended mutual fund⁴⁸ debt schemes that have a predetermined maturity date. They predominantly invest in government securities, corporate debt, commercial papers and money market instruments and aim at generating steady returns over a fixed period. They protect the investors against market fluctuations by investing in securities in line with their maturity periods.

The maturity period of the FMP varies from one plan to another. Unlike other debt funds, an investor can opt for a maturity period that suits his needs best. Depending on the tenure of the FMP, the fund manager invests in a combination of the above mentioned instruments of similar maturity. For example, if the FMP is for a year, then the fund manager invests in paper maturing in one year. FMPs are close-ended in nature which means that once the New Fund Offer (NFO) closes, the scheme cannot accept any further investment.

FMPs offer you most of the advantages that mutual funds offer, such as diversified investment and professional management. The risks are obviously lower since these plans do not invest in stocks. It is definitely worth trying out a small investment of your debt portfolio with FMPs and see if the professionals can manage the debt part of the portfolio better than you personally can. If you are tight on bandwidth, this of course is a good choice.

I have personally invested in FMPs , with a three year block (3 years locking leads to long term capital gains which have lower taxation structure (Ref Fig 2.6 in the earlier chapters of the book)) and am hopeful of getting better results than what I get through fixed deposits. In conclusion, FMPs are a good low risk debt part of your portfolio, as long as you are comfortable with the lack of liquidity until the maturity period.